Keys to Writing A Complete & Sufficient SAR Narrative

How to Prepare a Complete & Sufficient SAR Narrative

Note: The following slides represent suggestions to enhance the writing of a SAR narrative. This information should be used in conjunction with the instructions provided with the appropriate SAR form used by your institution & through guidance issued by FinCEN & regulatory authorities.

The Importance of Filing a SAR

1. Identifies potential & actual illegal activity:
   - Money laundering
   - Terrorist financing
   - Other financial fraud & abuse
2. Detects & prevents flow of illicit funds
3. Establishes emerging threats through analysis of patterns & trends
4. It's required by law!

#1 Rule:

Do not assume the reader is familiar with your institution's internal terminology, acronyms, operational processes, or has other knowledge related to the reported violation.

The Narrative should:

- Be ***concise*** & ***clear***
- Provide a ***detailed*** *description* of the known or suspected criminal violation or suspicious activity
- ***Identify*** the essential elements of *information* (the 5 W's)
- Be ***chronological & complete***

The 5 "W's" of Information

Who?

What?

When?

Where?

Why?

"How?"can be important, too!

- ***Who*** is conducting the criminal or suspicious activity?

  Describe additional details about the suspect(s) other than those provided earlier in the SAR form (Part I for SAR-MSB, SAR-SF & SAR-C or Part II for the depository institution SAR) :

  - Employer & occupation information
  - Relationship between the suspect & the filing institution
  - Length of the financial relationship

- ***What*** instruments or mechanisms facilitate the suspect activity/transactions?

  Identify & describe the transactions raising the suspicions of the financial institution. Examples include:

  - Cash deposits and/or withdrawals
  - Checks & other monetary instruments (money orders; traveler's checks; cashiers or bank checks)

- Additional types of transactions raising the suspicions of the financial institution:
  - Wire or other electronic transfers (ATM, ACH)
  - Cash Letters, Pouch Activity or other correspondent account activity
  - Stocks, bonds or notes
  - Casino chips or markers
  - Foreign currency

- ***When*** did the criminal or suspicious activity occur?
  - If a one-time occurrence, identify the date
  - If a pattern of activity occurred over a span of time, state when the activity first initiated and then describe the activity during the duration
  - Identify when the activity was detected

- ***Where*** did the suspicious activity take place?
  - Identify the branch/department location or locations within the institution where the activity occurred (name of branch, office or department and the street address for each)
  - Identify all account numbers & types of accounts affected by the transactions/activity
  - Indicate if suspect transactions involve other domestic or international banks & identify the banks, their locations, account numbers, etc.

- ***Why*** does the institution think the activity is suspicious?
  - First, describe the filer's type of institution (i.e., XYZ Bank is a commercial bank with 400 branches located in 5 northeastern states; Send Money Quick is an international money transmitter with five offices in metropolitan Pretend City; We Make U Money is a securities broker, etc.)

- ***Why*** does the institution think the activity or transaction is suspicious (cont.)?
  - Next, describe concisely but fully, why the institution considers the activity as suspicious
  - Be sure to include any relevant information about suspicious customer activity that the institution has in its files at the time the SAR is filed

- ***How*** did the suspicious activity occur?
  - In a concise, accurate and logical manner, describe how the suspect transaction or pattern of transactions were completed
  - For account activity, provide as completely as possible an explanation of the cycle of funds including the source of the funds in the account & application of those funds

- **Suggested structure of the narrative**

1. Introduction
2. Body
3. Conclusion

1. The Introduction

- Provide a brief statement of the SAR's purpose
- Generally describe the known or suspected violation
- Identify the date of any SARs previously filed on the subject & the purpose of that SAR
- Indicate any internal investigative numbers used by the filing institution to maintain records of the SAR

2. The Body

- Provide the relevant facts about all parties facilitating the suspect activity or transactions

Answers ***Who?***

2. The Body (cont.)

- Identify all involved accounts and transactions in chronological order by date and amount – do not use or insert tabular objects, tables, or pre-formatted spread sheets

Answers ***What? Where? When?***

2. The Body (cont.)

- Explain in detail the filer's position that the activity or transaction is illegal or suspicious

Answers ***Why?***

2. The Body (cont.)

- Describe the method of operation of the subject:
  - Manner in which the activity and/or transactions were completed;
  - Any relationship to other transactions, accounts, conductors, etc.; and
  - Subsequent results of the activity

Answers ***How?***

3. The Conclusion

- Summarize the report & include:
  - Any planned or completed follow-up actions by the institution
  - Names & telephone numbers of persons with additional information about the reported activity
  - Location within the institution where all SAR-related records are maintained

Important Reminder

Do not include any supporting documentation or attachments to the SAR when filed

Financial institution shall retain for ***5 years*** from the date of the filing:

- A copy of any SAR filed; ***and***
- The original or business record of ***any*** supporting documentation; ***and***
- Make all supporting documentation available to FinCEN & any appropriate law enforcement agencies or regulatory authorities

Another Important Reminder

Federal law requires that a financial institution, & its directors, officers, employees, and agents who, voluntarily or by means of a suspicious activity report, report suspected or known criminal violations or suspicious activity <u>may not</u> notify any person involved in the transaction that the transaction has been reported.

Questions?

Call the FinCEN Regulatory Help Line at 1-800-949-2732